My reading convinced me the general public had been in and out of stocks and bonds from the beginning, yet nobody seemed to remember from one decade to the next. Is there an investor's amnesia? People traumatized in earthquakes, traffic accidents, and so forth often develop healthy lapses of memory that protect them until they regain the strength to face reality. Women might refuse to have babies if they didn't forget the pain of previous delivery. Similarly, do investors collectively blot out all previous losses, only to return to the markets and repeat the process again?

On the other hand, I also learned that the average investor is progressively better-informed, craftier, more capable of making prudent decisions, and more wary of sham and hyperbole than his predecessor from the previous era, who inevitably was manipulated, whipsawed, hoodwinked, or otherwise victimized by his own ignorance into losing money. After sampling any number of Wall Street books, you'd swear there's been a steady improvement in investor sophistication since the middle of the nineteenth century.

In *The Art of Investing,* written in 1888 by a New York broker named Hume, the author describes "rascally transactions," "wild speculations," "a game reserved for habitual gamblers," "disgraceful stories," and "numberless deceptions" rampant in the 1870s, but which the canny public in the 1880s could easily see through. In May 1921, the brand new *Barron's* magazine congratulated Wall Street on its respectable, aboveboard dealings, as opposed to the disgraceful old days of "Gould houses, Vanderbilt houses, Tammany houses." In the 1930s, Wall Street once again became a respectable place to invest, as the SEC reformed the industry and many reprehensible practices were abolished for the first time.

Throughout the 1950s and into the 1960s, there were continuous published references to how well informed and highly sophisticated the investing public had become. Thanks to the brokerage reports, popular magazines, and technical help available to the smallest shareholder, the Thundering Herd was deemed unlikely to fall for rumors, rank speculations, or silly stories. The same improvements were noted in the 1970s and again in 1980s, when the home computer finally put the average investor on equal footing with the professional. I took all this to be good news.